

have covered his 100 shares with a gain of \$650, and thrown away his rights, which cost him \$400—leaving him still over \$200 to the good. On a recovery to 55, however (which subsequently happened) he would have used 200 of his rights to replace his short stock, and disposed of the other 200 rights at a nice profit. The reader can easily calculate that in this case he would have made \$300, less commissions.

Operations of this kind, involving rights, are very similar to the use of puts and calls for hedging purposes alluded to at the beginning of this article. Rights to subscribe are neither more nor less than calls issued by the company. But practically speaking, these rights usually carry a more attractive option, in proportion to their cost, than does the ordinary 30-day privilege.

Perhaps the best way to operate with rights is to straddle, — that is to play the market for both an advance and a break.

In the types of hedging heretofore considered the trader is always in a position to obtain the security he has sold, at a fixed price—either through conversion or by subscription. Yet one is often justified in selling one security against purchase of another, with no other safeguard than the definite knowledge that the two prices are far out of line.

On December 29 last, B. R. T. certificates of deposit sold at 5, while the undeposited stock was quoted above 10. It was true that the deposit agreement made withdrawal unusually difficult, but this was an entirely inadequate reason for the free stock selling at twice the price of the certificates. The two represented exactly the same property rights, and further there was enough stock in the control of the committee to enable it most probably to force the undeposited shares to accept their reorganization plan, when finally adopted. Hence the investor was running very little risk in buying 200 B. R. T.